

BRIGHTLEAF MARKETS

Loss Prevention —Quarterly Shrink Exception Report

Prepared by: T. Bascombe, Loss Prevention Analyst

Period: FY2021 Q1 (November 2020 –January 2021)

Distribution: S. Draeger (VP Store Operations), M. Ontiveros (District —North), W. Achterberg (Facilities). Provided to Ledgerwood Refrigeration Services February 11, 2021.

Chain summary —frozen category

Chain frozen shrink, FY2021 Q1	1.2 %
Estate, 38 stores	
Stores above 2.0 %	3
Stores above 3.0 %	1

Outlier detail

Store	Location	Frozen shrink	Variance to chain	Dry shrink
14	Millbrook	4.1 %	+2.9 pts	0.9 %
22	Corliss Park	2.4 %	+1.2 pts	1.1 %
07	Harkness Row	2.1 %	+0.9 pts	2.6 %
31	Ambrose Flats	2.0 %	+0.8 pts	1.4 %

Store 14 —Millbrook —concentration analysis

Location within store	Share of frozen shrink
Aisle 12 (frozen food line, Rack B-3)	91 %
Ice cream reach-in (Rack B-4)	4 %
Backroom walk-in freezer (Rack B-3)	5 %

Analyst note

Millbrook frozen shrink is the worst figure in the estate by a wide margin and **96 % of it sits on a single refrigeration rack** —91 % on the aisle 12 frozen line and a further 5 % in the backroom walk-in that the same rack serves. Dry-side shrink at the same

store is 0.9 %, below the chain average, which is not the pattern theft produces — theft does not confine itself to one aisle and leave the rest of the store clean.

Trailing four quarters at Millbrook: 1.4 %, 2.2 %, 3.3 %, 4.1 %. The trend is monotonic and began in the FY2020 Q2 period.

Recommendation: before this is written up as a shrink investigation against store management, equipment must be ruled out. I have asked Ledgerwood whether their service history for the location explains it.